STARTUPS

How 2 UC Berkeley dropouts raised $28M for their AI marketing automation startup

Julie Bort — 8:00 AM PDT · July 30, 2025

IMAGE CREDITS: CONVERSION

AI-powered marketing automation startup Conversion, founded five years ago by two UC Berkeley dropouts, has raised a $28 million Series A led by Abstract, with participation from True Ventures and HOF Capital.

The company's founding story sounds like it could have been an episode of the HBO show “Silicon Valley.”

The story begins all the way back when co-founder and CEO Neil Tewari, now 24, was in high school. He got busted one day watching a TechCrunch Disrupt livestream during class, was sent to the principal's office, and had to stay late.

Afraid to call his parents and tell them why they had to pick him up, he instead called one of their close friends. On the drive home, Tewari explained to the friend what got him in trouble. “I told him I had this interest [in entrepreneurship], and four years later, he was actually the first person to write us a check into the company,” Tewari told TechCrunch.

James Jiao, Tewari's college roommate at Berkeley — now Conversion's co-founder and CTO — also dreamed of founding his own company, so the two tried building various products, like one for helping marketeers buy product placement ads. They stumbled on the idea for Conversion when they signed up for HubSpot to help them with marketing

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tasks and decided to build a few extra automation features to layer on top of it.

“It was originally for us,” Tewari said of his startup’s tech. The co-founders enjoyed building their internal marketing tool so much, they wondered if they could sell it and began reaching out to marketing executives for “customer discovery” interviews.

“We actually spent like two months doing like 160 customer interviews with VPs of marketing, 50- to 500-employee businesses, and got a much more positive response than we could have imagined,” Tewari said.

Marketing teams had these tools deeply embedded in their workflows, but everyone had similar complaints about the parts they couldn’t automate.

The duo had found their idea. The family friend introduced them to more marketing execs, which helped them raise a $2 million seed round. At age

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19, they dropped out of college to work full time on Conversion.

The founders treated their raised funds so frugally they lived in a two-bedroom, one-bathroom apartment with five other roommates: two people to a room, with people sleeping on the couches and in the closet.

As they built their product, ChatGPT burst onto the scene. Many legacy marketing automation tools are adding various AI and chat integrations into their wares, but not all of their features support these integrations. Marketing teams wanted "to be able to enrich contacts, [be] able to automate workflows," for instance, Tewari said. Conversion has baked AI in, which means it can do things like organize leads and automate personalized follow-up emails.

As AI interest has soared, so has the company's prospects. Conversion is nearing $10 million ARR over the past two years, Tewari said, and about 90% of its customers are midsize businesses that have yanked out a legacy app.

Of course, Conversion is also in a crowded field. Besides the legacy marketing automation tools like HubSpot, Adobe Marketo, or Salesforce Pardot, there are other AI native startups like Jasper, Writer AI, Iterable, Copy.ai, and many others.

But Tewari also has the classic Silicon Valley confidence of a founder in a crowded market. His game plan calls for targeting businesses that use the older marketing tools. Conversion is not, for instance, targeting startups choosing a tool for the first time.

The company has raised a total of $30 million between its seed and Series A, the CEO says, and is doing well enough that the founders have each moved into separate apartments where they have their own rooms, and none of their roommates sleep in a closet.

Topics: Abstract AI conversion Funding marketing automation Startups

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AI

Cohere's new AI agent platform, North, promises to keep enterprise data secure

Rebecca Bellan — 6:32 AM PDT · August 6, 2025

IMAGE CREDITS: PAVLO GONCHAR/SOPA IMAGES/LIGHTROCKET / GETTY IMAGES

AI agent tools promise to siphon out some of the drudgery from daily workflows, but most organizations are hesitant to adopt them yet, harboring a pressing concern: data security. Large enterprises with trade secrets, companies in highly regulated industries, and government agencies have thought more than twice about bringing in AI tools out of concern that their — or worse, their customers' — data could inadvertently be compromised, or used to train foundation models.

Canadian AI firm Cohere is aiming to alleviate those concerns with its new AI agent platform dubbed North, which promises to enable private deployment so that enterprises and governments can keep their and their customers' data safe behind their own firewalls.

"LLMs are only as good as the data they have access to," Nick Frosst, co-founder of Cohere, said during a demo of North. "If we want LLMs to be as useful as possible, they have to access that useful data, and that means they need to be deployed in [the customer's] environment."

Instead of using enterprise cloud platforms like Azure or AWS, Cohere says it can install North on an organization's private infrastructure so that it never sees or interacts with a customer's data. North can run on an organization's on-premise infrastructure, hybrid clouds, VPCs, or air-gapped environments, Frosst said.

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"We can deploy literally on a GPU in a closet that they might have somewhere," he explained, adding that North was designed to run on as few as two GPUs.

Cohere claims North also includes security protocols like granular access control, agent autonomy policies, continuous red-teaming, and third-party security tests. And it meets international compliance standards like GDPR, SOC-2, and ISO 27001.

More than private deployments

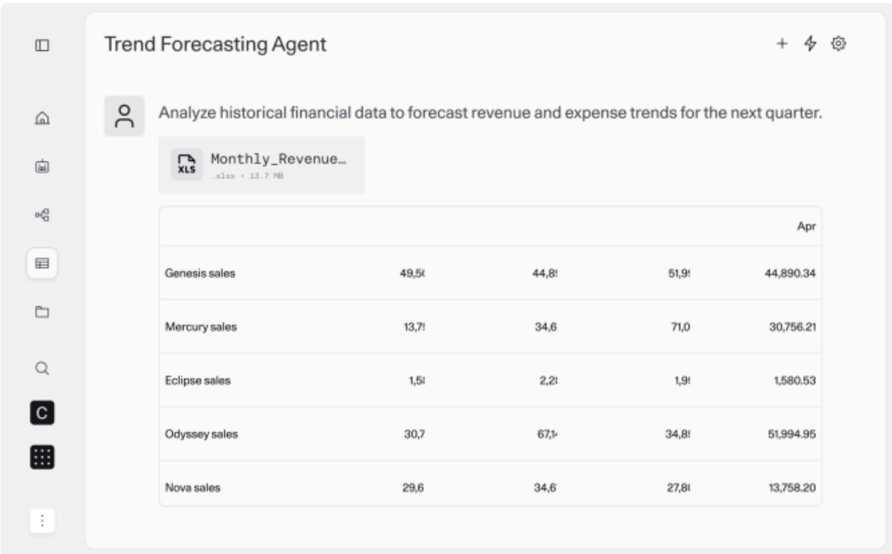

IMAGE CREDITS:COHERE

Cohere, which has so far raised $970 million, most recently at a $5.5 billion valuation, said it has already piloted North with some customers such as RBC, Dell, LG, Ensemble Health Partners, and, as TechCrunch reported last year, Palantir.

North mirrors many AI agent platforms right out of the box. Its chief features are chat and search, which let users get answers to customer support inquiries; summarize meeting transcripts, write marketing copy, and access information from both internal resources and the web. Frosst added that all responses include citations and "reasoning" chains of thought so employees can audit and verify the output.

The chat and search functions are powered by existing Cohere technology, like Command (its family of generative AI models) and Compass (its multimodal search tech stack). Frosst said North is powered by a variant of its Command model that is trained for enterprise reasoning.

"It goes beyond just Q&A and gets into doing work for you. So, [North] has a bunch of asset creation. It can make tables, it can make documents, it can make slideshows. It can do a bunch of market research," Frosst said.

It's worth noting that in May, Cohere acquired Ottogrid, a Vancouver-based platform that develops enterprise tools for automating high-level market research.

Like other AI agent platforms, North can connect to existing workplace tools like Gmail, Slack, Salesforce, Outlook, and Linear, and integrate with any Model Context Protocol (MCP) servers to access industry-specific or in-house applications.

"As you build confidence by chatting to the model, there's like a smooth transition that happens between using this as an augmentation to using it as an automation," Frosst said.

Correction: A previous version of this article misstated Frosst's title. We regret the error.

Topics: [AI] [AI agents] [Cohere] [Cohere north] [Enterprise]

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IMAGE CREDITS: JJ JUMOC-CASAS

Dominic-Madori Davis — 8:45 AM PDT · August 6, 2025

A new startup, [Lava Payments], aims to take on payment giants by building a solution for the modern web where AI agents now handle transactions for their customers. The idea came to founder Mitchell Jones after he left his earlier Y Combinator-backed fintech startup, Lendtable, as he began to experiment with AI.

He saw the potential to build out a system that would make using AI and agent payments simpler and more developer-friendly. While experimenting with an AI app and trying to build what he thought was something simple, he realized he quickly spent

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more than $400 trying to build a basic form-filling agent.

"I kept running into the same issue," he told TechCrunch. "I was using the same underlying models and tools again and again, but through different wrappers or platforms." And each time, he had to start a new subscription, re-authenticate, and pay separately, "even though I was already paying for access to the core model."

"That felt fundamentally broken," he continued. "I didn't want to keep rebuying access to the same thing under a different wrapper. What I wanted was a single wallet, one set of credits, and the ability to move between tools and providers without starting over every time so I could pay for what I was using."

He decided to launch Lava Payments as a solution.

Lava is a digital wallet that lets merchants use usage credits to facilitate transactions.

The idea is that one set of credits working across merchants and services makes it easier for autonomous agents to make payments without needing human intervention. It works like this: A merchant can enable the Lava wallet for their customers to use and upload (credits) money to. Once a customer does that, they can take that money and use it at any merchant that also accepts Lava and any of the foundational models, like GPT and Claude, on a "pay as you go basis," Jones said.

So, rather than having to pay for each tool, a user buys a one-time usage credit that AI agents can simply charge as they perform various tasks. No more asking the user to approve transaction after transaction.

"Without Lava, agents can't move smoothly through the internet because they constantly get blocked

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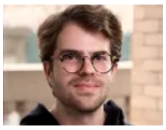

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when it comes time to pay," he said. He used Google as an example, saying every time a person opens Google Maps, they don't have to pay Google for that map, as they've already paid Verizon and AT&T to access the internet.

On Wednesday, the startup announced a $5.8 million seed round led by Lerer Hippeau.

Others in this space include startups like Metronome.

"We see the world as very interconnected," Jones said about what makes his product different. "What we're really focused on is building [for the] agent-native economy."

Born to a working family in Dayton, Ohio, Jones said his parents always told him the best way to get ahead was to work hard, save money, and get a good education.

"You know, a lot of the things that most people are told," he recalled, when speaking with TechCrunch.

Jones took that advice to heart. He got a good education (Yale), held some good jobs (Goldman, Meta), and then founded some companies (the fintechs Parable and Lendtable, the latter of which was YC S20).

Jones said he met his lead investors for Lava because he went to high school with Will McKelvey, now an investor at Lerer Hippeau. He said McKelvey has been following his career for a while and always wanted to work together someday, and Lava Payments was that someday.

Others in the round included Harlem Capital, Streamlined Ventures, and Westbound. The fresh capital will be used for hiring, building products, and developing go-to-market strategies.

Overall, Jones is ready for Lava to be the “invisible layer that kind of powers the AI web,” he says, especially as AI agents find themselves more and more in the checkout line.

“We should be enabling agents to move, transact, and build without friction,” he said.

“We want to make sure that AI is something that can be used by every single person, even a kid from Dayton, like myself.”

The title of this piece was updated to properly reflect what the company does.

Topics: AI Fintech Lerer Hippeau payments Startups

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OpenAI is practically giving ChatGPT to the government for free

Rebecca Bellan — 10:09 AM PDT · August 6, 2025

IMAGE CREDITS: GETTY IMAGES

OpenAI is poised to undercut rivals like Anthropic and Google in the race to see its AI tools integrated into federal agency workflows.

The AI giant has reached an agreement with the U.S. General Services Administration (GSA), the government's central purchasing arm, to offer ChatGPT Enterprise to participating federal agencies for just $1 per agency for the next year.

The partnership comes a day after the GSA added OpenAI, Google, and Anthropic to a list of approved AI vendors that can offer their services to civilian federal agencies. The companies will see their tools offered via the Multiple Award Schedule (MAS), a federal contracting platform that lets government agencies access AI tools via pre-negotiated contracts so they don't have to negotiate with vendors individually.

It's not clear whether other AI firms are going to offer their services at such a discounted rate, though GSA Federal Acquisition Service

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commissioner Josh Gruenbaum in a statement encouraged "other American AI technology companies to follow OpenAI's lead and work with us."

TechCrunch has reached out to Anthropic and Google for more information.

In addition to access to ChatGPT Enterprise, OpenAI is offering unlimited use of advanced models for an additional 60 days. Federal employees will also have access to a new government user community and tailored introductory training resources to get familiar with OpenAI's tools.

Data security is a top priority for government agencies that are concerned about sensitive information being leaked into model training sets. TechCrunch has asked the GSA for details on how government data is being safeguarded, including whether measures like on-premises or private cloud deployments are being used to enhance security.

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"The government is taking a cautious, security-first approach to AI," a GSA spokesperson told TechCrunch. "This ensures sensitive information remains protected while enabling agencies to benefit from AI-driven efficiencies."

OpenAI's discount comes a couple of weeks after the Trump administration published its AI Action Plan that seeks to boost data center buildouts and integrate more AI tools into government, among other things. It also follows a Trump executive order that bans "woke AI" and AI models that aren't "ideologically neutral" from government contracts.

TechCrunch has reached out to OpenAI to learn more about its GSA partnership and how it will approach Trump's executive order.

Topics: AI ChatGPT Enterprise Government & Policy GSA OpenAI

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